in recent years notwithstanding the rise in fiscal deficit. A part of this owed to lower growth in interest payments visà-vis nominal GDP. As against an average annual growth of **12.7** per cent in interest payments in the last five years ending 2011-12, annual average nominal GDP growth was **15.9** per cent.

It would be instructive to note that the base for interest payments is the cumulative debt in the previous year plus the incremental assumption of debt in the current year. The average ***cost of borrowing*** thus measured is placed at **7.9** per cent in 2011-12 and was budgeted to remain at the same level in 2012-13.

Pay Allowances and Pension

Pay and allowances constituted **0.9** per cent of GDP in 2007-8, rising to 1.4 per cent of GDP in 2009-10 on account of the implementation of the award of the *Sixth Central Pay Commission*. For 2011-12 it was at **1.1** per cent of GDP – but some moderation has been there and is estimated to be at **1.0** per cent for the 2012-13 (RE).

Similarly, pension constituted **0.5** per cent of GDP in 2007-8 and rose to 0.9 per cent in 2009-10; it is placed at **0.6** per cent in 2011-12 and 2012-13. A longer time trend analysis reveals that growth in pensions was very modest prior to 2004-05 and subsequently picked up due to the impact of the contributory scheme (i.e., the New Pension Scheme) introduced for fresh entrants to government service in addition to the outgo under the earlier pension scheme with undefined contribution. In tandem with pay and allowances, pensions also grew sharply in 2008-09 and 2009-10, reflecting the impact of the Sixth Pay Commission.

States' Finances

While there has been some stress in central government finances in recent years, the finances of states are in **fine fettle**. The combined gross fiscal deficit of states did not exceed **3.0** per cent of GDP even in the years of global crisis. After reaching a level of **1.5** per cent of GDP in 2007-8, the fiscal deficit of states rose to 2.9 per cent in 2009-10 but has moderated to **2.1-2.3** per cent subsequently.